

TESTING THE PREMISE THAT MARKETING ATTITUDES AND BRAND ORIENTATION CORRELATE WITH NONPROFIT PERFORMANCE: CONNECTING RESEARCH AND PRACTICE

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ABSTRACT

The importance and implementation of marketing strategies and brand orientation in the management of nonprofit organizations (NPOs) is still being debated. Through the use of three psychometrically robust scales, this study aims to bring the intangible value of the NPO brand and marketing attitudes into a more concrete perspective.

INTRODUCTION

Incorporating brand strategy into a nonprofit organization (NPO) was once considered a dubious endeavor (Ritchie, Swami and Weinberg 1999). At the heart of the debate was the perception that such activity constituted diverting scarce resources away from the services the organization was created to provide. In the dispute, branding was effectively framed as an obstruction to mission achievement. More recently, numerous authors advocate the adoption of marketing techniques and market orientation by NPOs to ensure success in the increasingly tumultuous nonprofit environment (Gainer and Padanyi 2005; Hall 2006; MacMillan et al. 2005; Mottner and Ford 2005). Increased attention on NPO marketing led to further detailed study of nonprofit brand orientation (NBO). NBO puts the image and value of the brand at the core of all activity within the organization in order to affect more positive outcomes.

Our discussion begins with an assessment of the literature on the challenges faced by NPOs when implementing NBO and is followed by a cost-benefit analysis of pursuit. Next the research project is delineated from methodology to findings, implications, limitations and future research plans. The overall objective of the paper is to bring the intangible value of the brand and NBO into a more concrete perspective. This is the first in a series of studies designed to collect empirical evidence to determine if there is a correlation between NBO, as measured by positive attitudes, knowledge and activities in support of branding, and the outcomes produced by an NPO. Specifically, we pose two research questions. First, is there a correlation between stakeholders' general attitudes toward marketing of NPOs and their perception of the brand orientation of their affiliated NPO? Second, do perceptions of marketing and brand orientation correlate to outcomes for an NPO?

This preliminary investigation utilizes three statistically valid and reliable scales to test and extend the existing research on the applicability and value of marketing and branding in NPOs. We add to Ewing and Napoli's findings (Ewing and Napoli 2005) by considering a broader and deeper sample of stakeholders as we investigate their attitudes toward marketing, the subject NPO's orientation to branding and perceptions of the organization's performance effectiveness. Results identified at least one area that requires greater scrutiny if researchers and practitioners are to gain confidence in the theorized connections among the concepts.

NPO Brand Orientation vs. NPO Culture and Practice

Customers of for-profits and nonprofits use brand as a heuristic to summarize their expectations relative to consistency and quality of benefits offered by a particular organization (Ritchie, Swami and Weinberg, 1999). At a fundamental level, branding is about unity of message, reinforcing images and consistent meaning – used to develop trust in a brand. Value is created through products, services and communication that fulfill and uphold these demands. Without consistency and unity, brands deteriorate (Ewing and Napoli 2005).

Examination of the culture and organizational structure of a typical NPO provides some insight into the on-going struggle NPOs have with the branding process. NPOs thrive on decentralized management, lack of formal hierarchy, autonomy, and consensus building cultures (Foreman, 1999; Quelch and Laidler-Kylander, 2005; Laidler-Kylander and Simonin, 2009). Many consider the autonomy and mission-driven nature of NPOs to be a competitive advantage that nonprofits use to attract key employees. Without this, they would be relatively defenseless to attract talented human resources when pitted against higher paying for-profit employers. Jobs that include the freedom to initiate activities and determine direction and policy characterize the typical NPO and are very attractive to many individuals (Benz, 2005). Injecting brand orientation into this type of environment is challenging if not problematic. The intrinsically motivated nonprofit employee might purposely or inadvertently reject the brand message or overall strategy dictated by central management for a number of reasons. Perhaps

the employee's personal, autonomous view of the organization's brand is different than the one prescribed by headquarters; they don't realize the importance of consistency of brand communication; or feel slighted that they were not consulted on the approach prior to implementation. Due to the lack of formal hierarchy and decentralized management, this rejecting employee may act, unimpeded, on this decision and continue to reinforce a brand image that is contrary to the direction established by headquarters.

Evidence of this struggle was identified by Conway Dato-on et al. (2008) and Weisenbach Keller et al. (2009), when studying the brand communications of three major, international NPOs. The authors found significant variation of brand visuals, missions and taglines amongst U.S. locations and between local affiliates and each agency's central body. This finding reinforces Hankinson's (2001) conclusions that an NPO without brand orientation reveals brand management that is piecemeal, without central coordination. When questioned about the differences, NPO employees revealed that local needs were often considered more pressing than brand orientation needs of the parent organization (Weisenbach Keller et al. 2009). This further substantiates the assertion that NPO cultures which tend toward autonomy and decentralized decision-making may need additional motivation to pursue NBO. Determining how to instill brand orientation while maintaining the valuable and unique elements of nonprofit culture remains a challenge.

NBO – Cost Benefit Analysis

NPO managers wrestle with the balance between using scarce resources to develop brand and using those limited assets to deliver additional, mission-driven services. Ritchie et al. (1999) referred to this as the "balance beam" of nonprofit marketing. On one side of the equation are the benefits of NPO branding: build trust with multiple publics through consistency of brand promise and communication, develop lasting and credible equity in the firm's mission, leverage the organization's heightened brand profile to access valuable resources: time, money, effort, association, affiliation, and talent, all of which help to provide better assistance to user groups. Conversely, branding efforts are seen as costly because they divert resources which are often scant from service delivery and mission pursuit. Opposition, both internal and external, is often generated from those who feel that the near-term demands of service delivery must take primacy over the unjustifiably commercial pursuit of brand orientation.

Laidler-Kylander (2009) lists "overwhelming consensus" as to the value of brand for NPOs, yet none of this alleviates the expense of branding. The fact remains that developing a brand orientation requires a commitment of scarce resources. If NPOs, large and small, are to satisfy the mission established for the entity they must manage resources effectively and be very efficient. Therefore, they must be able to justify the strategic use of some assets for the purpose of marketing and specifically brand building.

The diverse nature of major and direct NPO stakeholders (Ritchie, Swami and Wienberg, 1999) indicates a strong need for centralization of message and focused image building. The proliferation of nonprofit organizations and the changing landscape in which they operate has increased the demands placed on managers of these organizations, but no commensurate increase in resources has been recorded. One tool that NPO managers have been encouraged to employ is the establishment and development of the brand. Brand theory applied to NPO indicates that careful management of brand elements will impact many areas of NPO management; specifically improved image and perception of the brand relative to the service's history and to other service providers (Gainer and Padanyi, 2004). When branding is successful, NPO managers have a tool that is valuable and costly to imitate, which can be used to accomplish the mission and provide a competitive advantage in a challenging environment.

RESEARCH METHODOLOGY

Despite all of this evidence there remains a reluctance or inability on the part of many NPOs to pursue brand orientation. To fully rationalize the cost of actively managing the brand, directors of these organizations must consider the intangible benefits of brand orientation as a strategic tool with long-term consequences. They must learn to see the brand as an intangible value and symbol that expresses the agency's identity (Urde 1999) in a landscape where competition is dynamic and increasing.

In this research we attempt to bring that intangible value into more concrete perspective. This is the first in a series of studies designed to collect empirical evidence to determine the relationships between nonprofit brand orientation, as measured by positive attitudes toward and knowledge of branding, and the outcomes produced by an NPO. To this end we pose two research questions. First, is there a correlation between stakeholders' general attitudes toward marketing of NPOs and their

perception of the brand orientation of their affiliated NPO? Second, do these perceptions of marketing and brand orientation correlate to outcomes for an NPO?

These questions will be answered by collecting data from assorted stakeholders of the subject NPO. This is the first attempt at measuring brand attitude, knowledge and effectiveness in this way. A natural first step is to test the approach in a single NPO before expanding to a larger and more generalizable sample. The subject NPO, a charter school in a southern state, made multiple stakeholder groups available to complete the survey.

Napoli (2006) pursued a similar objective and found that more successful NPOs were more likely to deliver a “likeable” brand to stakeholders and enjoy the commensurate benefits of a strong brand. Her study is limited by the inclusion of only CEO level respondents. As discussed earlier, brand orientation, when fully employed, involves a positive attitude toward branding and is a driving force for the entire organization’s decision-making. This research therefore looks at attitude and brand orientation throughout several stakeholder groups, not just at the top level.

The Subject NPO and Respondents

The subject NPO is a Charter School (kindergarten through grade 8) that has operated in the same southern city for eleven years. The school has a strong fiscal position, high recognition for academic achievement and stability of administration and teachers. There is only one location of the school, thus centralizing governance and communication. Admission to the school is based on a lottery system and there is a long waiting list for admission.

For the purpose of this study we surveyed parents (n=78), employees (n=11), board members (n=5) and donors (n=17) as part of a larger project on branding of the charter school. The questionnaire was distributed electronically via email addresses received from the school administrator. Respondents received several notices regarding the survey and its purpose from the administrator though the entire process was managed by researchers external to the school and respondents’ anonymity was ensured. Response rates varied by group; averaging between 75-90%.

Scales

We utilized three psychometrically robust scales to retrieve information from deep within the organization. Ewing and Napoli (2005) were able, through factor analysis, to discriminate scale items that effectively measure NBO. A scale developed by Shontz et al (2004) to determine librarians’ attitudes toward marketing of their institutions was adapted to determine employees’ perspectives on the NPO (rather than a library). The Gainer and Padanyi (2005) scale measures effectiveness based on perception of client satisfaction – and compares it to the organization’s past and its peers over the past year. In order to make the survey more palatable and time efficient the questions from Shontz and colleagues (2004) were reduced to include a smaller, but still representative group of questions.

The measure of nonprofit brand orientation with the Ewing and Napoli (2005) scale proved reliable ($\alpha = .844$) in the current study. The scale consists of twelve items measuring the subject NPO’s branding activities on a 6-point Likert scale anchored by ‘strongly agree’ and ‘strongly disagree.’ In both the original study and this research the two-item dimension of Affect (seeking detailed knowledge of stakeholder like and dislike about the brand) stands alone. The scale explains 75% of variance.

While assessing employee attitudes toward marketing of their organization is important (Shontz et al. 2004), measuring their perspectives concerning the subject NPO proved challenging. First, because the NPO was small, the number of employee respondents (n = 11) made statistical analysis difficult. Combining the employees with parent and donor respondents to ascertain a broader stakeholders’ perspective on marketing seemed to cloud the reliability of the scale. As this is an exploratory study we used a shortened version of the Shontz et al. (2004) scale (7 items) all measuring pro-marketing attitudes. The reported reliability ($\alpha = .679$) is low and though reaching the threshold for exploratory research (Churchill 1979) serves as a limitation for the study.

The Gainer and Padanyi (2005) scale showed excellent reliability in the current study. The scale asks respondents to rate the subject NPO’s performance in two distinct ways. First, respondents rate performance over the last five years ($\alpha = .927$) using a 6-point Likert scale anchored by ‘declined significantly’ and ‘increased significantly.’ Second, two items ask respondents to consider how the NPO has performed over the past year vs. other organizations providing the same service in the community ($\alpha = .91$). In this second portion of the 6-point Likert scale the anchor points are ‘well below others’ and

‘much better than others.’ Exploratory factor analysis reveals the two comparison points as separate factors, which together explain 82% of variance.

FINDINGS

Three stakeholder groups were surveyed: school employees, parents of students in the school and donors to the school. All groups displayed strongly positive attitudes toward marketing. In terms of the balance beam (Ritchie et al. 1999) referred to earlier, the groups found marketing to be necessary and beneficial but did not label it as a resource drain. Answers were affirmative in response to the importance of product and service development and good PR and negative when a question implied that marketing is a resource drain, impeding the organization’s progress toward service provision. Over 50% of each group replied that marketing is a priority for the school. Overall attitude toward marketing in all groups was very positive with a mean of 2.0 where one is strongly agree with pro-marketing statements and six is strongly disagree.

One major difference can be seen in the assessment of the nonprofit brand orientation between the groups. Specifically parents whose children were enrolled in the school seem to have a more positive perception of the NPO’s brand orientation. On average, 61% of parents responded positively when evaluating the school’s brand orientation. Donors, while not particularly negative, responded positively only 41% of the time on average. Negative responses were very low for both groups; the big difference was in the number of donors who felt that they were “unable to answer” questions of brand orientation. According to theory (Ewing and Napoli 2005), this lack of understanding among these key constituents signals a potential problem. This problem is realized in the effectiveness portion of the survey.

Performance was measured in two ways: by changes in effectiveness over the past five years and by comparison to other service organizations in the area. Overall, respondents saw an increase in the subject NPO’s performance over the past five year (mean = 3.81 where 6 = increased significantly) and relative to comparison organizations offering similar services (mean = 4.84 where 6 = much better than others). On average 60% of donors selected “unable to answer” on questions regarding the NPOs performance trend over the past five years. For parents, the group who responded positively about marketing, the “unable to answer” response was only used, on average, 13% of the time. There were very few negative responses to the effectiveness questions, however many parents (41% on average) found the performance to be stable over the past five years.

Analyzing the relationships among NBO, stakeholders’ attitudes toward marketing, and NPO performance shows support for the theoretical linkages among the concepts. NPO stakeholders’ feelings on marketing are significantly correlated to NBO ($r = .319, p < .05$) and NBO is significantly correlated to NPO effectiveness based on perception of client satisfaction over a five year period ($r = .72, p < .01$) and when compared to other NPOs over the past year ($r = .65, p < .01$). No significant relationship is found between stakeholders’ attitudes toward marketing and NPO performance.

IMPLICATIONS LIMITATIONS AND FUTURE STUDIES

The general objective of our study was to bring the intangible value of the brand and NBO into a more tangible perspective. The exploratory study was designed to collect empirical evidence to determine if there is a correlation between NBO, positive attitudes toward marketing, and the outcomes produced by an NPO as measured by client satisfaction. To accomplish this we asked two questions. First, is there a correlation between stakeholders’ general attitudes toward marketing of NPOs and their perception of the brand orientation of their affiliated NPO? Second, do perceptions of marketing and brand orientation correlate to outcomes for an NPO?

In answering the questions we see that a positive attitude toward marketing can be measured, but alone, is not enough to lead to a perception of effectiveness among some stakeholder groups. The additional knowledge of the organization’s efforts toward brand awareness (NBO) correlates with positive impressions about the NPO’s effectiveness over time and relative to similar nonprofits.

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